

Plan E: the flat gilt ladder, account by account, year by year

What each pot becomes, what pays for what from June 2035, and how the numbers move in the planning case. Everything is in today's money.

Balances **1 Sep 2026** Retire **Jun 2035** (Max finishes Year 11) Spend **£60k/yr** real Model **2% real equity, 1.93% real gilts**

£909k Index-linked gilt ladder, 11 rungs 2035–45	£108k Paid by the ladder every year 2035–45, inflation-proof	£652k Equity sleeve, left to grow to 2046 and beyond	£120k Cash buffer and crypto, untouched by the plan
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1. Where the money sits today, and what it becomes

Total investable £1,627k on 1 Sep. Only Chris's II accounts and part of Abby's Vanguard ISA change. Abby's pension, Chris's Accenture pension and the savings stay as they are.

ACCOUNT	NOW £	UNDER PLAN E	LADDER £K	EQUITY £K	OTHER £K
Chris II ISA	276,716	Sell LifeStrategy, buy rungs 2035, 2036, 2037 plus a slice of 2038	276.7	–	–
Abby Vanguard ISA	312,573	About £243k transfers to a new Abby II ISA for rungs 2038, 2039, 2040. The rest stays in VS100 at Vanguard	242.8	69.8	–
Chris II SIPP	439,574	Sell LifeStrategy, buy rungs 2041–45. About £50k stays in equity	389.9	49.7	–
Chris Accenture pension (L&G)	192,659	Stays at L&G. Switched 3 Sep from the Drawdown Focus lifestyle to 100% Global Equity Tracker (B6W3, 0.11%)	–	192.7	–
Abby Accenture DC (L&G)	282,921	Stays 100% equity. Amendment 1 salary sacrifice lands here until 2035	–	282.9	–
Other savings	119,924	As is: about £66k cash buffer, about £54k crypto (1 BTC, 6 ETH)	–	–	119.9
Accenture shares	1,960	Fold into equity when convenient	–	2.0	–
Total	1,626,327		909.4	597.1	119.9

The equity sleeve the model calls £652k is the £597k above plus the £54k of crypto, which it treats as equity for return purposes. The house (about £697k) sits outside every number on this page.

2. The investment types

Index-linked gilt ladder, £909k

One UK index-linked gilt maturing each year from 2035 to 2045. Each rung is bought now, held to maturity, and pays out its inflation-adjusted value in the year it matures. The ladder balances in section 3 are held-to-maturity values accruing at the locked real yield, not market prices, which is why they rise steadily to 2035. Rungs for 2035–40 must be ISA money because that is the only pot reachable before Chris's pension opens in Nov 2040. Rungs for 2041–45 sit in the SIPP and mature inside it. Costs below use the June yield curve at 1.93% real and will move a little at re-pricing.

MATURES	WRAPPER	GILT	COST £K	PAYS £K REAL	NOTE
2035	Chris II ISA	TR35	91	108	
2036	Chris II ISA	TG36	89	108	
2037	Chris II ISA	TR37	87	108	
2038	Chris ISA £9k + Abby II ISA £77k	T38	86	108	Split across the two ISAs
2039	Abby II ISA	TG39	84	108	
2040	Abby II ISA	TR40	83	108	
2041	Chris II SIPP	T41	81	108	Matures inside the SIPP
2042	Chris II SIPP	T42A	79	108	Also holds half of 2043
2043	Chris II SIPP	no 2043 linker	78	108	Half in T42A, half in T44; early half parked in money market for a year
2044	Chris II SIPP	T44	77	108	Also holds the other half of 2043
2045	Chris II SIPP	TR45	75	108	
Total			909	1,186	Coupons of roughly £8k/yr on top while the ladder is whole, falling as rungs mature

Equity sleeve, £652k

Global equity trackers only: VS100 or LS100 at II and Vanguard, the L&G Global Equity Tracker in both Accenture pensions. It is not touched until 2046 in the planning case. From 2035 the ladder pays more than the household spends. Because each rung matures inside its wrapper, the surplus never leaves the ISA in 2035–40 and never leaves the SIPP in 2041–45, so it is reinvested in equity there with no new allowance needed. The sleeve rebuilds itself from guaranteed money rather than from market returns. Abby's salary sacrifice adds roughly £29k rising to £41k a year to her DC pot until 2035.

Cash and crypto, £120k

About £66k of savings is the buffer for lean Hadley Bricks years, cars and roof-type costs before 2035. The standing rule is that shortfalls come from here, never from trimming Abby's salary sacrifice. The crypto is held as a separate bet. Exiting it across two tax years was the June intention and is still a decision to make on its own.

3. Year by year in the planning case

Real £k throughout. Balances are end of year. The left block is where the money sits, the right block is what came in and what it paid for. The teal line marks retirement in June 2035. The state pensions arrive at 68: Chris in 2052, Abby in 2055.

■ Gilt ladder ■ Equity Pension equity = Chris II SIPP remainder plus his Accenture pot

WHERE THE MONEY SITS, END OF YEAR									INCOME AND WHAT IT PAID FOR						
YEAR	LADDER IN ISAS	LADDER IN SIPP	PENSION EQUITY	ABBY DC	ISA EQUITY	GIA	CASH + CRYPTO	TOTAL	RUNG PAID	HADLEY BRICKS	STATE PENSION	PENSION DRAWS	TAX-FREE CASH	INCOME TAX	SURPLUS REINVESTED
2026	530	397	248	317	71	–	121	1,686	–	–	–	–	–	–	–
2027	540	405	253	354	73	–	123	1,749	–	–	–	–	–	–	–
2028	550	413	258	393	74	–	124	1,814	–	–	–	–	–	–	–
2029	561	421	263	434	76	–	126	1,882	–	–	–	–	–	–	–
2030	572	429	268	477	77	–	128	1,952	–	–	–	–	–	–	–
2031	582	437	273	523	79	–	129	2,026	–	–	–	–	–	–	–
2032	594	446	278	571	80	–	130	2,102	–	–	–	–	–	–	–
2033	605	454	284	622	82	–	132	2,182	–	–	–	–	–	–	–
2034	617	463	289	675	83	–	134	2,265	–	–	–	–	–	–	–
2035	522	472	296	689	146	–	135	2,261	108	13	–	–	–	–	61
2036	424	481	302	703	210	–	137	2,257	108	13	–	–	–	–	61
2037	323	490	307	717	275	–	139	2,254	108	13	–	–	–	–	61
2038	222	500	313	731	340	–	140	2,250	108	13	–	–	–	–	61
2039	119	510	320	746	408	–	142	2,246	108	13	–	–	–	–	61
2040	13	519	326	761	477	–	144	2,243	108	13	–	–	–	–	61
2041	–	422	381	776	500	–	146	2,226	108	–	–	13	47	–	–
2042	–	322	436	791	510	–	148	2,209	108	–	–	13	47	–	–
2043	–	220	505	795	520	–	149	2,192	108	–	–	26	35	–	–
2044	–	117	576	798	531	–	152	2,175	108	–	–	26	35	–	–
2045	–	11	647	801	541	–	153	2,157	108	–	–	26	35	–	–
2046	–	–	624	805	552	–	155	2,139	–	–	–	26	35	–	–
2050	–	–	588	712	598	–	164	2,064	–	–	–	26	35	–	–
2055	–	–	635	563	648	–	175	2,024	–	–	25	–	23	–	–
2060	–	–	701	621	535	–	187	2,047	–	–	25	–	–	–	–
2065	–	–	774	685	408	–	200	2,072	–	–	25	–	–	–	–
2070	–	–	854	756	269	–	215	2,099	–	–	25	–	–	–	–
2075	–	–	943	835	116	–	230	2,128	–	–	25	–	–	–	–

Reading 2035–40: each ISA rung pays £108k inside the ISA, £47k leaves it to cover spending after Hadley Bricks, and the other £61k stays in the ISA as equity, which is why ISA equity climbs by about £61k a year and GIA stays empty. Reading 2041–45: the SIPP rungs mature inside the pension, so they show as pension equity growing rather than as

cash arriving. Spending in those years is covered by a £12.6k draw inside Chris's personal allowance plus tax-free cash. Years 2047 to 2049 are omitted as they are near-identical to 2046, and after 2050 the table shows every fifth year.

What the flat-2% tail hides. Because the drawdown rule takes only what fits inside the personal allowances, the pensions are never drawn down and reach about £1.78M by 2075. That is efficient for income tax, with about £500 paid across forty years, but it leaves a large estate for inheritance tax and beneficiary tax. From the mid-2050s the sensible move is to draw the pensions up to the basic-rate band and gift or ISA the excess. That decision is parked, not forgotten.

4. Other return worlds

The table above is one path: 2% real from equities every year. Below is the same plan under flat 0% and 4% real, and then what the plan did across every rolling start in the US market record since 1881, first for all starts and then for starts at valuations like today's.

Flat return, deterministic

EQUITY REAL RETURN, EVERY YEAR	TOTAL AT 2035	TOTAL AT 2045	TOTAL AT 2075	SUSTAINABLE SPEND
0% (a lost half-century)	£2.11M	£1.72M	£0.39M	£71k
2% (planning case)	£2.27M	£2.17M	£2.13M	£94k
4% (the long-run average)	£2.44M	£2.79M	£6.57M	£126k

Even at 0% real for fifty years the plan funds £60k to age 92 with the house untouched and £386k left. Income tax in that world rises to about £53k in total, because pensions get drawn at 20% from 2070.

History replayed

OUTCOME	WORST	5TH PCT	MEDIAN	95TH PCT
All 1,514 monthly starts, 1881–2007				
Total at 2035	£1.69M	£1.93M	£2.66M	£4.28M
Total at 2045	£1.46M	£1.96M	£3.96M	£8.77M
Sustainable spend	£75k	£89k	£139k	£256k
34 starts with CAPE at or above 35, like today				
Total at 2035	£1.69M	£1.72M	£1.98M	£2.32M
Total at 2045	£2.92M	£2.96M	£3.20M	£3.50M
Sustainable spend	£110k	£111k	£116k	£122k

Sustainable spend means the highest flat real spend from 2035 that runs the investments to zero at age 92 on that exact path, before tax, with no flexibility. It is a hindsight number for comparing designs. The one figure to hold onto is the worst case: £75k, against a plan to spend £60k. Each window uses 19 years of real history then 2% flat, so the later decades are an assumption.

5. Assumptions

Money	All figures in Sep 2026 pounds. Balances from the tracker on 1 Sep 2026.
Gilt ladder	Real yield 1.93% locked at purchase, from the June 2026 curve. Rungs held to maturity. Re-price at live yields before ordering; each rung moves a few £k per 0.25% of yield.
Equities	2% real a year in the planning case. Global tracker exposure throughout. Crypto is modelled as equity.
Cash	0.5% real. Buffer held at a £30k floor before any taxed pension draw.
Saving to 2035	Only Abby's salary sacrifice is credited, £28.9k rising to £40.9k a year into her DC pot. The rest of the household is treated as breakeven, which is the Amendment 1 cash-flow view with Hadley Bricks at £25k. Anything saved beyond that is margin.
Spending	£60k real from June 2035, flat for life. About £51k of it is the base and the rest is holidays.
Hadley Bricks	£13k a year from retirement to Nov 2040, tax-free inside Chris's personal allowance, then nil.
Pension access	Chris Nov 2040 at 57, Abby Aug 2043 at 57. Drawdown is phased: taxable draws to fill each personal allowance, then tax-free cash, then ISA, then GIA, then cash, then taxed pension at 20% as a last resort.
State pension	£12.5k each at 68: Chris from 2052, Abby from 2055. Both assumed to reach full records.
Tax	Personal allowance £12,570 and basic-rate limit £50,270 held flat in real terms, which is conservative. Tax-free cash capped at £268,275 each. That cap is frozen in cash terms, so the model is generous on it by roughly a third by the 2050s.
Surplus	In 2035–40 the surplus stays inside the ISA where the rung matured. In 2041–45 it stays inside the SIPP. After that anything left goes into ISAs up to £40k a year, then a general account, where dividend and gains drag is not modelled.
Not counted	The house, any inheritance, Hadley Bricks after 2040, Abby's bonus, Child Benefit after 2035, and any rule changes to pension age, tax-free cash or state pension age.

6. Still to do before buying

- Re-price all eleven rungs at live yields. The £243k Abby transfer figure follows from that.
- Agree the design with Abby. Plan E is the working assumption, not yet the adopted plan.
- Abby opens an II ISA and starts the partial cash transfer from Vanguard. Sell LifeStrategy in Chris's II ISA and SIPP.
- Buy shortest rungs first, 2035–37 from Chris's ISA, then Abby's 2038–40, then the SIPP's 2041–45.
- Check the target retirement age on the L&G account and whether the Accenture scheme offers in-scheme drawdown at 57. Neither is urgent.
- Decide the crypto exit on its own merits.
- Pull both state pension forecasts and settle Abby's NI route for 2035 to 2054.